Skill-Premium Curve

Wage premium for scarce AI roles

PROFESSIONAL DEFINITION

The Skill-Premium Curve shows how scarce AI-related skills command a rising wage premium, and how that premium changes as supply catches up or technology shifts demand.

WHO DEVELOPED IT

Grounded in labour-economics analysis of skill-biased technological change, associated with economists such as David Autor and Lawrence Katz.

WHY IT WAS DEVELOPED

It was developed to explain and anticipate the cost of scarce skills, informing whether to hire, train or wait.

FIGURE 1 · SKILL-PREMIUM CURVE

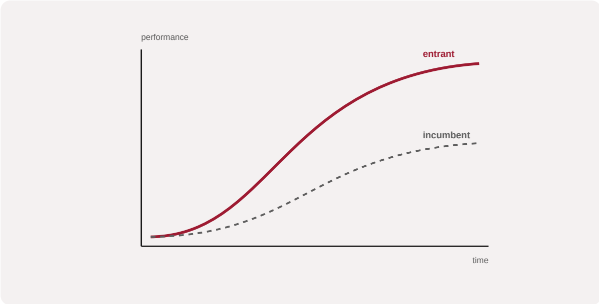

Figure 1. A schematic of the Skill-Premium Curve as applied in BARBM312 (illustrative).

HOW IT IS USED

The premium for target skills is tracked over time; strategy weighs paying the premium now against building supply through training.

WHEN IT IS USED

When planning AI hiring and compensation strategy.

BY WHOM IT IS USED

HR, finance and workforce-planning leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It frames AI talent cost dynamically, recognising premiums shift with supply and with the technology itself.

RELATED FRAMEWORKS IN THIS COURSE

- **Open vs. Proprietary LLM 2×2** · Slibrary 11
- **Make-vs-Buy Decision Tree** · Slibrary 11
- **Talent Scarcity Heatmap** · Slibrary 11
- **MLOps Maturity Ladder** · Slibrary 11

SOURCES (HARVARD REFERENCING STYLE)

Autor, D.H., Katz, L.F. and Krueger, A.B. (1998) 'Computing inequality', Quarterly Journal of Economics, 113(4).

Acemoglu, D. and Autor, D. (2011) 'Skills, tasks and technologies', Handbook of Labor Economics, 4.